

ZEW falls again to its lowest level since 2022

- The ZEW index fell sharply again in April, with economic expectations dropping to their weakest level since the energy crisis of 2022, as the Iran conflict shows little sign of resolution. The assessment of current economic conditions also worsened, as the economic impact of the crisis starts to bite.
- Downbeat investor expectations pose only limited downside risks to our forecast, and we would likely need to see clearer signs of the crisis feeding through to hard data before considering a downgrade. We think the PMIs released later this week should not post such a severe decline and expect the Eurozone economy to register a modest expansion in Q2.

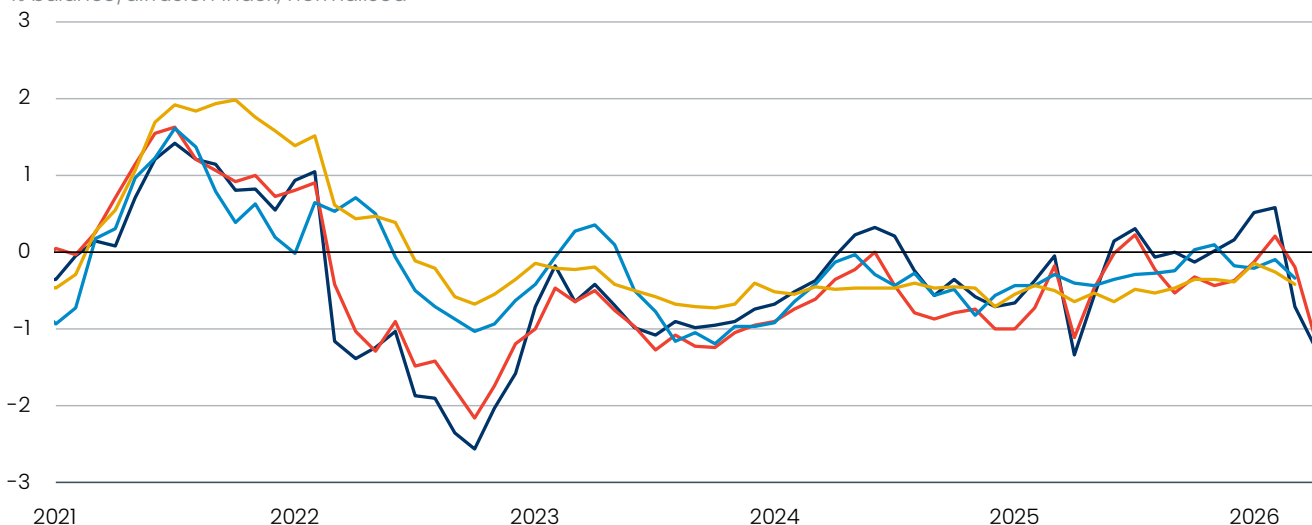
The ZEW suffered another fall in April, as the crisis triggered by the Iran conflict remains acute. Economic expectations for the Eurozone plunged to -20.4, down from -8.5 in March, their lowest level since the energy crisis of 2022. The assessment of current conditions posted a sharp decline too, erasing all of the gains recorded over the course of 2025 as the impact of the conflict on the economy begins to be felt.

The picture was similar for Germany. At the sectoral level, the sectors seeing the sharpest fall in profit expectations are the ones that are most exposed to the [fall in household real purchasing power and consumer sentiment](#) in the wake of the conflict: retail trade and automobile. And the ones that are particularly vulnerable to the rise in energy prices and supply disruptions, such as chemicals and steel.

Chart 1: Fall in investor sentiment may overstate the hit to actual economic activity

Eurozone: Key surveys

% balance/diffusion index, normalised



Sources: Oxford Economics, Haver Analytics, S&P Global

Though the survey may not fully reflect the [most recent diplomatic efforts](#) made in order to reopen the Strait, April's renewed decline suggests that investors are sceptical that a rapid improvement in the situation is on the cards and even if so, a return to pre-war conditions is likely to take time. Indeed, the latest available data suggest traffic through the Strait of Hormuz remains near a standstill.

As was the case in March, we think wild swings in financial market sentiment may somewhat overstate the hit to activity. Although the pace of growth is clearly weakening, we do not expect the PMIs, due on Thursday, to show a comparable deterioration. Instead, we continue to forecast modest GDP growth of 0.15% q/q in Q2, especially as oil prices remain somewhat below our baseline assumption. That said, risks are clearly tilted to the downside, especially if negotiations fail and the Strait remains closed for much longer.